Nepalese Congress leaders in India on the grounds that these people were fomenting rebel activities in Nepal. Desai wrote:

We told them (Nepal) that Government of India is taking effective measures to prevent the passage of armed persons or smuggling of arms from India into Nepal and that according to our information, the rebel activities in Nepal were based on local discontent. This was propagandistic effort made by the Nepal authorities to blame India for their inability to check the rebel activities and to maintain law and order inside Nepal.

Nepal, under King Mahendra's authority, was wooing China and an agreement had been reached for the construction of a Kathmandu-Lhasa road. When the Indian government pointed out the security risks involved and the concerns felt in India, Nepalese officials observed that they would take all necessary precautions to prevent any danger to Nepal—and therefore India—from China.

IB officials operating from Karachi informed the Indian government that Nepal had also entered into an air agreement with Pakistan for a direct service from Karachi via Kathmandu to Dhaka. Desai said in a note to senior members of the Indian government that when the MEA put this matter to Nepal, they gave no reply but reassured the Indian officials that they could not dream of doing anything that would affect the traditional friendship between India and Nepal. Desai's note said:

We pointed out to them that friendship is a two-way traffic and while we can understand their desire to improve their communications, trade and international contacts, they on their side should keep in view the reactions of public opinion in India to any arrangements that they may reach with China or